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Case Number: 25STCV32877 Hearing Date: July 8, 2026 Dept: 515

NATURE OF PROCEEDINGS: Hearing on Defendant's Demurrer to the Complaint and Motion to Strike Portions of the Complaint.

Defendant's

Demurrer to the Complaint is sustained with leave to amend. Defendant's Motion to Strike is denied as moot.

BACKGROUND

Plaintiff

Justin Goldman (Plaintiff) filed this action against Michael Sherman, p/k/a Mike Sherm (Defendant), over two musical compositions in which Plaintiff claims a partial ownership interest, titled "Asshole" and "Baby" (collectively, "the Works"). Plaintiff alleges that he acquired producer, writer, and publishing interests in the Works, and that Defendant impaired their value and exploited them without authorization by failing to clear a sample used in "Asshole," concealing and misrepresenting the clearance status, and continuing to monetize "Baby" without licensing Plaintiff's interest. (Compl. ¶¶ 1-12.)

The causes

of action are: (1) Fraud; (2) Breach of the Implied Covenant of Good Faith and Fair Dealing; (3) Conversion; and (4) Unjust Enrichment.

Defendant

filed a Demurrer and a Motion to Strike. Plaintiff did not file an Opposition.

DEMURRER LEGAL STANDARD

When considering demurrers, courts read the allegations liberally and in context. (Wilson v. Transit Authority of City of Sacramento (1962) 199 Cal.App.2d 716, 720-21.) In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleading alone, and not the evidence or the facts alleged.” [Citation.]” (E-Fab, Inc. v. Accountants, Inc. Services (2007) 153 Cal.App.4th 1308, 1315.) As such, courts assume the truth of the complaint’s properly pleaded or implied factual allegations. (Ibid.) However, they do not accept as true deductions, contentions, or conclusions of law or fact. (Stonehouse Homes LLC v. City of Sierra Madre (2008) 167 Cal.App.4th 531, 538.)

“The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: [¶] (a) [s]trike any irrelevant, false, or improper matter inserted in any pleading....” (Code Civ. Proc., § 436.) “The grounds for a motion to strike shall appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice.” (Code Civ. Proc., § 437, subd. (a).)

DEMURRER ANALYSIS

I. Copyright Preemption

Defendant argues that the Copyright Act preempts the entire Complaint because every claim rests on the alleged impairment of jointly owned copyrights, which Defendant characterizes as a species of infringement that belongs in federal court. “A state law cause of action is preempted by the Copyright Act if two elements are present. First, the rights that a plaintiff asserts under state law must be ‘rights that are equivalent’ to those protected by the Copyright Act. [Citations.] second, the work involved must fall within the ‘subject matter’ of the Copyright Act as set forth in 17 U.S.C. §§ 102 and 103. [Citation.]” (Kodadek v. MTV Networks, Inc. (9th Cir. 1998) 152 F.3d 1209, 1212.) Under the first prong, a state claim is preempted when it vindicates rights equivalent to the section 106 bundle (reproduction, derivative works, distribution, public performance, public display), but survives when it is qualitatively different from copyright and requires proof of an extra element that changes the nature of the action. (See Kabehie v. Zoland (2002) 102 Cal.App.4th 513, 521; Computer Assocs. Int’l v. Altai (2d Cir. 1992) 982 F.2d 693, 716.)

Defendant's

argument does not apply the "extra element" test. It rests instead on the fourth statutory fair use factor, the effect of the use on the potential market for the work, and reasons that because impairment of a copyright's market value bears on fair use, any claim premised on impairment is really a federal copyright claim. (See 17 U.S.C. § 107(4).) That reasoning is incorrect. Fair use is an affirmative defense to a claim of infringement, not a definition of the plaintiff's cause of action, and it does not convert every state law claim that touches a copyright's value into a preempted federal claim. Whether a claim is preempted turns on the extra element test, and Defendant does not analyze the elements of any cause of action under it.

Because each

cause of action independently fails for the reasons stated below, the Court does not decide in this order whether any particular claim is preempted.

II. Fraud

Defendant

argues that the fraud claim is not pleaded with the requisite particularity.

The elements of fraud are (1) a misrepresentation; (2) knowledge of its falsity; (3) intent to induce reliance; (4) justifiable reliance; and (5) resulting damage. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638 (*Lazar*).)

Fraud must be pleaded with particularity, alleging facts showing how, when, where, to whom, and by what means the representations were made. (*Id.* at p. 645.)

Here, the

Complaint alleges that Defendant concealed that a sample in "Asshole" was uncleared and represented to "Williams and others" that all clearances were complete. (Compl. ¶ 8.) It does not allege when any representation was made, where, or by what means, nor does it identify the "others" to whom the representations were directed. It further alleges that Defendant made false statements to the effect that the Works were cleared, unencumbered, and properly licensed. However, it does not identify which composition, which statement, or the circumstances of any statement. (Compl. ¶ 13.) The Complaint compounds the uncertainty by referring to a single "Work" in paragraph 10 while defining two "Works" in paragraph 1. Accordingly, the demurrer to the fraud cause of action is sustained with leave to amend.

III. Breach of the Implied Covenant of Good Faith and Fair Dealing

Defendant

argues that this cause of action fails because it alleges no contract. The implied covenant of good faith and fair dealing supplements an existing contract; it cannot exist independently of a contractual relationship, and a claim for its breach presupposes a contract between the parties. (*Guz v. Bechtel National, Inc.* (2000) 24 Cal.4th 317, 349-350.)

Here, the

second cause of action alleges no contract between Plaintiff and Defendant. It alleges that Defendant owed a duty of good faith and fair dealing to co-rights holders and breached it by concealing information, withholding royalties, and continuing to exploit the Works. (Compl. ¶ 15.) A duty said to arise from shared ownership of a copyright is not a contractual duty, and the Complaint identifies no agreement between these parties for the covenant to supplement. The claim also does not incorporate the preceding allegations by reference. (Compl. ¶ 15.) Accordingly, the demurrer to the second cause of action is sustained, with leave to amend.

IV. Unjust Enrichment

Defendant

argues that California does not recognize unjust enrichment as a cause of action. There is no cause of action in California for unjust enrichment. It is a general principle underlying various remedies, synonymous with restitution, rather than a claim in itself. (*Durell v. Sharp Healthcare* (2010) 183 Cal.App.4th 1350, 1370.)

Some courts

construe a claim so labeled as a request for restitution on a quasi-contract theory. (See *Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 231.) Even construed that way, this claim pleads no facts. It incorporates no prior allegations, and it states only that Defendant retained profits from the Works and that equity requires disgorgement. (Compl. ¶ 17.) Accordingly, the demurrer to the unjust enrichment cause of action is sustained with leave to amend.

V. Conversion

Defendant

argues that the conversion claim fails because a co-owner cannot convert a jointly owned copyright and because an unspecified sum of money cannot be converted. The elements of conversion are (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's wrongful exercise of dominion over it; and (3) resulting damages. (*Farmers Ins. Exchange v. Zerin* (1997) 53 Cal.App.4th 445, 451 (*Farmers*).) Money may be converted only when a specific, identifiable sum is involved; a mere obligation to pay money will not support the claim. (*Id.* at pp. 451-452.)

Here,

Plaintiff alleges that he is a co-owner of the composition "Baby" and that Defendant wrongfully exercised control over it and the revenues it generated. (Compl. ¶¶ 11-12, 18-19.) A co-owner of a copyright holds an undivided interest and may independently exploit the work; he may not limit the other co-owner's independent right to do the same. (*Sybersound Records, Inc. v. UAV Corp.* (9th Cir. 2008) 517 F.3d 1137, 1146.) On these allegations, Defendant's exploitation of his own co-owned interest does not deprive Plaintiff of Plaintiff's separate interest, so the claim does not state a conversion of Plaintiff's property. To the extent the claim rests on unpaid royalties, the Complaint identifies no specific, identifiable sum, and a mere obligation to pay money will not support conversion. (*Farmers*, *supra*, 53 Cal.App.4th at p. 452.) Accordingly, the demurrer to the cause of action for conversion is sustained with leave to amend.

MOTION TO STRIKE

Because the

Court sustains the demurrer with leave to amend as to every cause of action, the Motion to Strike is denied as moot.

CONCLUSION

Defendant's

Demurrer to the Complaint is sustained in its entirety; Defendant's Motion to Strike is denied. Plaintiff has twenty days leave to amend.